EMI COVERAGE RATIO

EMI Coverage Ratio= Surplus before EMI / EMI. 'Surplus before EMI' is the surplus/deficit from our income statement before paying any EMI. That means we need to add back the EMI to the surplus/deficit to get 'Surplus before EMI'. Divide this by EMI. This will give us our EMI coverage ratio which refers to the amount of extra cushion we have after paying our EMI. If this ratio is anything less than 1.25, we need to visit a financial expert right away.

$$\text{EMI COVERAGE RATIO} = \frac{\text{SURPLUS BEFORE EMI}}{\text{EMI}}$$

PERSONAL INCOME STATEMENT

Income	INR 10,00,000
Expenses	INR 5,00,000
EMI	INR 1,00,000
Surplus	INR 4,00,000

Denotes the surplus amount before paying any EMI

EMI + SURPLUS = SURPLUS BEFORE EMI

1,00,000 + 4,00,000 = 5,00,000

EMI Coverage Ratio

$$\frac{5{,}00{,}000}{1{,}00{,}000} = 5$$

(More than 1.25, hence healthy status)